

SECTOR MAP

# Social & Live Commerce — India

*From Engagement to Profitable Conversion*

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Where engagement, conversion, returns and creator trust meet — and who wins the loop

# What Is Social & Live Commerce, and Our Thesis

Social & Live Commerce combines social media, creators, video and e-commerce. Consumers discover products through content, creators or live streams, then purchase through a marketplace, D2C site, social channel or messaging platform.

*Social and live commerce is shifting shopping from search-led discovery to creator-led discovery. The next phase will be won by players that convert engagement into profitable purchases while controlling creator costs, fulfilment and returns.*

## THE TENSION

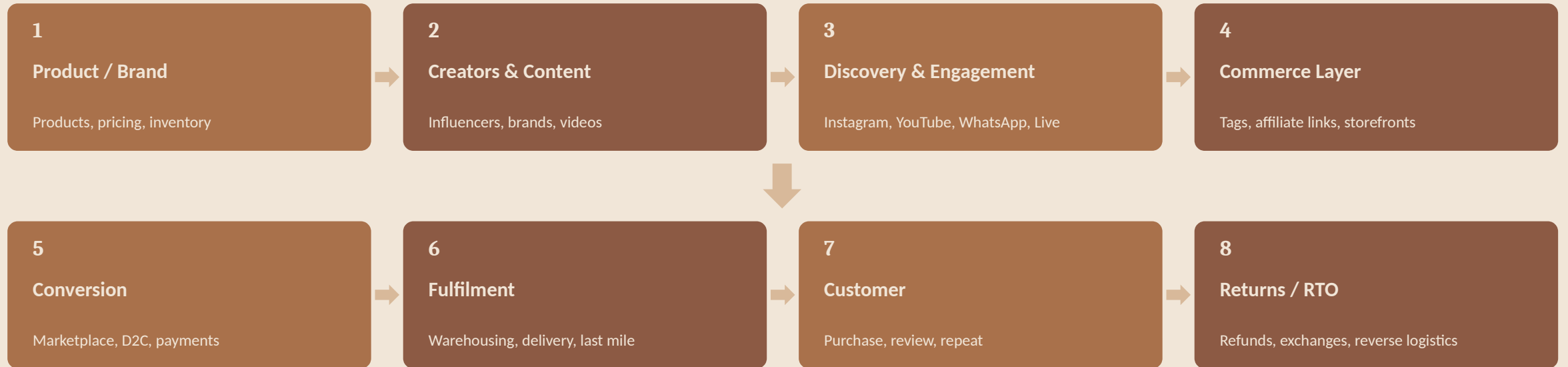
Engagement (views, likes, watch time) does not automatically create profit — conversion and returns sit in between.

## WHO WINS

Players who own the full loop — creator, content, consumer, conversion, fulfilment and repeat purchase — not just the ones with the most attention.

## SECTION 2

# Value Chain



*Key shift: traditional e-commerce begins Search → Product → Purchase. Social commerce increasingly begins Content → Discovery → Trust → Product → Purchase.*

# Key Players

| Layer                      | Examples                                         | Role                                      |
|----------------------------|--------------------------------------------------|-------------------------------------------|
| Social platforms           | Instagram, Facebook, YouTube, WhatsApp           | Audience, content and discovery           |
| Marketplaces               | Amazon, Flipkart, Meesho, Myntra                 | Transaction and fulfilment                |
| Creator commerce           | YouTube Shopping, Meesho creator ecosystem, Zoop | Creator-to-commerce connection            |
| Brands / D2C               | Nykaa, Purplle and D2C brands                    | Products, brand and customer relationship |
| Creator / influencer layer | Creators, agencies and affiliate platforms       | Trust, recommendation and conversion      |
| Payments & logistics       | UPI, Razorpay, Delhivery, Shiprocket             | Checkout, delivery and returns            |

# Economics — The Core Tension

The industry makes money through product margins, marketplace commissions and services, advertising, creator/affiliate commissions and payments/logistics services. High engagement does not automatically create high profit.

| Stage         | Important metrics                                             |
|---------------|---------------------------------------------------------------|
| Engagement    | Views, likes, comments, shares, watch time, live viewers      |
| Conversion    | Clicks, add-to-cart, orders, GMV, conversion rate             |
| Profitability | Gross margin, CAC, creator commission, fulfilment and returns |

*Core tension: platforms want attention, brands want profitable sales, creators want reliable monetisation, and logistics providers absorb the cost of returns/RTO.*

# Policy, Regulation & Industry Environment

## POLICY & REGULATION

Shaped by India's e-commerce and consumer-protection framework, plus rules on advertising and influencer endorsements. Key areas: consumer information, misleading claims, disclosure of sponsored content, refunds and customer protection.

## FUNDING & ENVIRONMENT

The sector has evolved from social reselling into creator-led commerce and, increasingly, commerce embedded inside major content platforms. Meesho, YouTube Shopping, Amazon Watch & Shop and live-commerce platforms illustrate this progression.

# Public Sentiment & Trust

## CUSTOMER SIDE

Consumers often buy based on a creator's recommendation rather than a traditional product search. Authenticity increases conversion, but excessive sponsorships, poor product quality or misleading claims weaken trust — and drive returns.

## CREATOR SIDE

Creators build the trust that drives conversion, but many report being paid late or unpredictably by brands and agencies — a reliability gap that can erode the same trust they create for buyers.

*Key paradox: more commercialisation can increase monetisation, but too much commercialisation can reduce authenticity.*

# Jobs & Skills

The sector creates roles across creator management, influencer marketing, e-commerce, affiliate marketing, content, live commerce, growth, fulfilment, analytics and AI.

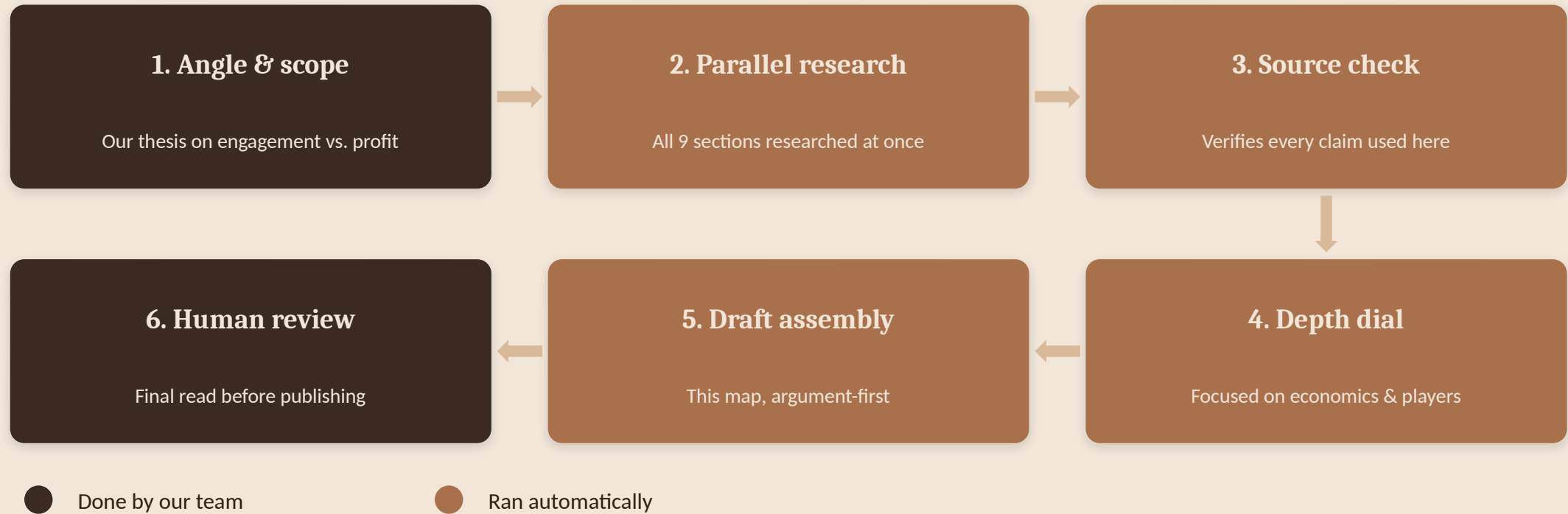




# AI Relevance

| Area            | AI impact                                                                |
|-----------------|--------------------------------------------------------------------------|
| Discovery       | Personalised recommendations                                             |
| Content         | Scripts, captions, thumbnails, translations and video support            |
| Product tagging | Identifying products mentioned in videos                                 |
| Conversion      | Personalised product recommendations and shopping assistants             |
| Live commerce   | Real-time customer support, product recommendations and stream analytics |

# Automating the Social & Live Commerce Sector Map



# Where the Next Winners Are Built

Platforms and creators already win on reach. The next winners are the players who close the gap between engagement and profit — by making conversion, fulfilment and creator payouts as reliable as the content itself.

## Prepaid conversion tools

Nudge buyers off COD at the point of live purchase

## Return-reduction tech

Verified sizing, live Q&A, and confidence-building at checkout

## Creator payout escrow

Milestone-based, reliable, no long wait for payment

**Bottom line: the next competitive advantage will be turning attention into profitable, repeatable transactions without letting returns, discounts and creator costs destroy unit economics.**

## SECTION 10 • WHAT THIS MEANS

# Own the Loop, Not Just the Audience

The strongest position is increasingly not simply owning an audience. It is owning the loop from Creator → Content → Consumer → Conversion → Fulfilment → Repeat Purchase.

*Engagement is table stakes. Owning the loop — and the trust inside it — is the moat.*